

Financial Risk & Performance Report

Company: **Solar Industries India Limited**
Analysis Date: 23rd August 2025
Period Analyzed: 2022 – 2024
Method: Document Analysis
Status: **Completed**

1. Overall Risk Assessment

Overall Risk Score: **16.0 (Low Risk)**

Liquidity Risk	20.0 (Low)
Solvency Risk	8.0 (Low)
Profitability Risk	14.0 (Low)
Efficiency Risk	23.0 (Low)

■ Interpretation: The company is financially stable with low risk across liquidity, solvency, profitability, and efficiency.

2. Key Financial Figures (■ in Crores)

Metric	2024	2023	2022	Trend/Change
Total Revenue	6069.52	6922.53	3947.61	▼ -12.3% YoY
Gross Profit	3359.55	3102.99	1646.48	▲ +8.3% YoY
Net Profit	835.93	757.19	441.28	▲ +10.4% YoY
Current Assets	2648.38	2501.35	1660.95	▲ +5.9% YoY
Total Debt	1104.97	1169.23	866.11	▼ -5.5% YoY
Current Liabilities	1504.76	1634.87	1114.73	▼ -8.0% YoY
Trade Receivables	844.85	825.28	541.10	▲ +2.4% YoY
Shareholder's Equity	3305.60	2610.34	1914.28	▲ +26.6% YoY

■ Summary: Despite a revenue decline, profitability and equity improved significantly, showing resilience.

3. Financial Ratios & Metrics

Liquidity & Solvency

- Current Ratio (2024): 1.76 → Improving, Low Risk
- Interest Coverage Ratio (2024): 11.62x → Excellent, though ▼ -11.9% YoY
- Debt Service Coverage Ratio (2024): 2.92x → Excellent buffer, but ▼ -23.8% YoY
- Debt-to-Equity Ratio (2024): 0.33 → Low leverage, improving trend

Profitability

- Gross Profit Ratio (2024): 55.35% → Strong, improving +23.5%
- Net Profit Ratio (2024): 13.77% → Robust, improving +25.9%
- Operating Margin (2024): 20.93% → Improving +21.5%

- Return on Equity (2024): 25.29% → Strong, though ▼ -12.8% YoY

Efficiency

- Receivables Turnover (2024): 7.18x → Adequate, ▼ -14.4%
- Days Sales Outstanding (2024): 50.84 days → Standard, ▲ +16.9%

Retained Earnings

- Retained Earnings (2024): ■3287.50 Cr → ▲ +26.8%
- Retained Earnings Growth (2024): 26.82% → Slowed ▼ -26.9% from 2023

4. Key Insights

■ **Revenue Decline:** Revenue dropped 12.3% YoY in 2024, but profitability ratios improved, indicating better cost management and margins.

■ **Strong Profitability:** Net profit grew by 10.4%, and margins are at healthy double digits.

■ **Low Debt Risk:** Debt-to-equity is at 0.33, showing conservative debt usage.

■ **Liquidity Stable:** Current ratio at 1.76 suggests strong short-term solvency.

■ **Efficiency Concerns:** Receivable turnover declined and DSO increased, implying slower collections.

■ **Shareholder Value:** Equity rose 26.6%, and ROE remains high at 25.29%, though slightly declining.

5. Conclusion

Solar Industries India Limited is financially strong with low overall risk.

Despite a revenue dip in 2024, profitability, solvency, and liquidity remain robust.

Debt levels are well-managed, with ample coverage ratios.

Efficiency in receivables collection needs monitoring, as slower collections could strain working capital.

The company is well-positioned for long-term growth, with strong retained earnings and shareholder equity.

■ **Risk Level:** Low

■ **Overall Outlook:** Stable & Profitable with improving margins